Retail Lease Agreement

Lease Reference No. RLA130-UGFCC-UnitB1-a+B1-b-09.2021
(Mary Grace Foods, Inc. for Cafe Mary Grace)

This Retail Lease Agreement ("Agreement") is executed by the following parties:

TIGER RESORT, LEISURE AND ENTERTAINMENT, INC., DOING BUSINESS UNDER THE NAME AND STYLE OF OKADA MANILA, a corporation organized and existing under Philippine laws with registered address at New Seaside Drive, Entertainment City, Barangay Tambo, Parañaque City 1701 Metro Manila, Philippines, represented in this Agreement by its **Board Director** **Kenji Sugiyama**, and its Assistant Vice President - Retail, Alvaro Ramos (hereinafter referred to as the "Lessor");

- and -

MARY GRACE FOODS, INC., a corporation organized and existing under Philippine laws, with business address at Lot 25 & 27 Marian Road 2, Brgy. San Martin de Porres, Paranaque City, Manila, Philippines 1713, represented in this Agreement by its Director, Adrian Dimacali (hereinafter referred to as the "Lessee");

Recitals:

WHEREAS, the Lessor is the owner and operator of Okada Manila, an integrated hotel, gaming and entertainment complex located at New Seaside Drive, Entertainment City, Barangay Tambo, Parañaque City 1701 Metro Manila, Philippines.

WHEREAS, the Lessor is offering for lease several premium commercial spaces at Okada Manila that forms part of the integrated resort;

WHEREAS, the Lessee is engaged in the operation and management of restaurants and food outlets under the registered trade name of "Mary Grace Foods, Inc.," and it desires to lease a commercial space within Okada Manila.

NOW THEREFORE, the Parties mutually agree to the following:

Part I.
BASIC TERMS

Retail brand/ Tradename:	"Café Mary Grace"	
Leased Premises:	**Unit Number:**	B1-a + B1-b
	Location:	Upper Ground Floor, Crystal Corridor
	Approximate leasable area:	284.00 sq.m
Lease Term:	Three (3) years	
Duration of Lease:	01 January 2025 up to 31 December 2027 (the "Lease End Date")	
Fit Out Plan and Fit out Period:	Not applicable	
Fit Out Guarantee:	Not applicable	

Construction Bond/Demolition:	PHP 535,888.12 , exclusive of VAT
Start of Operation:	*01 January 2025. This is taken to mean that the Lessee shall open the store to the public and/or start of operation and other revenue-generating activities
Rent Commencement Date:	01 January 2025
Monthly Rent:	Rental shall be the sum of the Base Rent and Percentage Rent, , subject to annual escalation at five percent (5%) per annum, shall be as follows:

RENT YEAR	BASE RENT	PERCENTAGE RENT
01 Jan 2025to 31 Dec 2025	1,711.50	5%
01 Jan 2026 to 31 Dec 2026	1,797.08	5%
01 Jan 2027 to 31 Dec 2027	1,886.93	5%

**exclusive of VAT and other applicable taxes, subject to withholding tax.*

Advanced Rent:	PHP 1,607,664.36, exclusive of VAT, equivalent to three (3) months' rent shall be payable upon execution of this Agreement. The Lessor has the discretion to increase the Advanced Rent for any reason it deems fit.
Security Deposit:	PHP 1,607,664.36, exclusive of VAT, inclusive of reservation deposit shall be payable upon execution of this Agreement. The Lessor has the discretion to increase the Advanced Rent for any reason it deems fit.
CUSA Charges:	PHP 160.00 per square meter of gross leasable area per month, exclusive of VAT. This rate is subject to recalculation if necessary, based on the prevailing market pricing or as established by the Lessor.
Air-conditioning Charges:	PHP 160.00 per square meter of gross leasable area per month, exclusive of VAT. This rate is subject to recalculation if necessary, based on the prevailing market pricing or as established by the Lessor.
Utilities:	Water, LPG and electrical consumption shall be individually sub-metered. Should Lessee wish to subscribe to other utility services such as internet and cable, it will have to subscribe from, and pay corresponding charges directly to, third party utility providers.

Part II.
DEFINITION OF TERMS

As used in this Agreement, the following terms shall have the following meanings and shall be, as far as the context permits, interpreted accordingly:

Leased Premises	The space at Okada Manila Crystal Corridor and other designated retail areas in the property, which is the subject of this Agreement. This is identified by retail unit number and more particularly described in *Part I* and *Schedule A*.
Key Plan	The relevant portion of the Okada Manila Master Plan showing the approximate location of the Leased Premises, including a drawing or diagram of primary architectural elements of the mall building.
Lease Term	The period during which this Agreement is effective and binding.
Lease Year	A period of twelve (12) full consecutive calendar months counted from the effectivity of the lease.
Rent Commencement Date:	The date immediately following the Fit Out Period upon which the Lessee's obligation to pay the Rent starts to accrue (at applicable rates) whether the Fit Out work was completed or not.
Minimum Guaranteed Rent (MGR)	A minimum Rental Fee at a fixed unit rate per month calculated based on leasable area. In any case, the higher value between the 1.) Base Rent plus Percentage Rent; and 2.) MGR, shall be used to compute the Monthly Rent.
Base Rent	Monthly rental of fixed amount to be paid on top of Percentage Rent and in lieu of the Minimum Guaranteed Rent, when such Base and Percentage Rent are higher than the Minimum Guaranteed Rent.
Percentage Rent	Rental paid in addition to Base Rent, and is calculated based on the Gross Sales of the Lessee at any given month.
Fixed Rent	Fixed Rental Fee per month calculated based on leasable area regardless the amount of sales.
Gross Sales	Grand total of actual sales of all goods, services and merchandise – including but not limited to, food, beverage and alcohol in the case of restaurants – from the public or by promotion and marketing tie-ups with the Okada Manila Reward Circle, whether they are made for cash or on credit. The following are not considered part of the Gross Sales: ▪ The selling price of all merchandise returned by customers and accepted for full credit or the amount of discounts and allowances made thereon, including refunds made to customers in the ordinary course of business; ▪ Goods returned to sources, or transferred to another store or warehouse owned by or affiliated with Lessee; ▪ Sales taxes, so-called luxury taxes, consumers' excise taxes, gross receipts taxes and other similar taxes now or hereafter imposed upon the sale of merchandise or imposed upon the sale of merchandise or services, but only if collected separately from the selling price of merchandise or services and collected from customers;

- Sales of fixtures, equipment or property which are not stock in trade;
- Gift certificate or like vouchers until such time as the same shall have been converted into a sale by redemption;
- Sales discounts mandated by law and government issuance (i.e. Senior Citizens, Persons with Disability discounts.
- Service charge (In case of food and beverage establishments), an additional fee equivalent to a certain percentage of the total bill to covered employees of F&B establishments that collect service charges for services rendered.

Any transaction on installment basis involving the extension of credit or deferral of payments, such as, but not limited to, "lay-away" sales and conditional sales, shall be treated as a sale on the day the full price is invoiced to the customer. Cash shortages, commissions, and other related fees shall not be deducted from the Gross Sales for purposes of computing Percentage Rent

Fit Out Plan — The conceptual renderings, material sample boards, drawings and specifications consisting of architectural, mechanical, electrical, structural, plumbing plans; signage and graphic shop drawings and other relevant plans that the Lessee shall submit to the Lessor for approval prior to Handover Date.

Fit-Out Period — The period starting from the Handover Date during which the Lessee has possession of the Leased Premises for the purpose of carrying out the Fit-Out works.

Fit-Out Works — Works to be undertaken by the Lessee prior to the start of commercial operations in order to make the Leased Premises suitable for occupation as a brand retail shop or food and beverage outlet. It includes all works and activities made on the Leased Premises based on the designs and safety standards, the Building Code of the Philippines, and as approved by the Lessor.

Handover Date — The date when the Lessor shall deliver, within the Lease Term, the physical possession of the Leased Premises to the Lessee in such condition as would allow Lessee to commence Fit-Out Works. The Handover Date is considered as the first day of the Fit-Out Period. During the Handover Date, the Lessee is presumed to have obtained all the pre-construction requirements, including, but not limited to, securing a Building Permit from PEZA or the Office of the Building Official, as the case may be. The Lessee's failure to obtain the said permits will not stall the running of the Fit-Out Period.

Fit-Out Guarantee — Cash Bond other than Cash Construction Bond to be deposited by the Lessee upon execution of this Agreement. This bond guarantees the

	commitment of the Lessee to operate on time based on the committed Start of Operation.
Construction Bond	The Bond that will be deposited by the Lessee prior to any construction works (Fit Out works, alterations, additions, improvements, repairs, etc.) to secure the Leased Premises against any damage during the fit out process.
Demolition Bond	Cash Demolition Bond shall be deposited by the Lessee upon execution of this Agreement to secure the Leased Premises against any damage during the demolition process at the end of the Lease Term.
Start of Operations	The date immediately following the end of the Fit-Out Period upon which the Lessee actually opens its retail brand shop to the public.
Common Areas	All areas and facilities at Okada Manila Retail that are provided and designated by Lessor for the general use and convenience of the public and all the lessees, their respective employees, customers and guests. The Common Areas include (but are not limited to) corridors and hallways, pedestrian walks, sidewalks, patios, landscaped areas and parks, rest rooms, elevators, escalators, service alleys, parking areas and driveways, and the like, which have been installed at the expense of Lessor. The term shall be understood to include future expansion and development.
Common Use Service Areas (CUSA) Charges	Lessee's proportionate share in the maintenance and operating cost of the Common Areas, which is charged monthly by the Lessor after the Fit-Out Period regardless of whether the Lessee has actually operated its shop.
Reservation Deposit	The reservation deposit equivalent to one (1) month of Rent paid by the Lessee to the Lessor upon the acceptance and signing of the Letter of Offer for the purpose of reserving the Leased Premises, which Reservation Deposit may be credited to the Security Deposit.
Letter of Offer	*A non-binding letter issued by the Lessor to the Lessee prior to the execution of this Agreement, containing the Lessor's preliminary offer to lease out the Leased Premises, which contains several conditions preceding the execution of this Agreement.*
Retail Areas	The areas in Okada Manila that are dedicated for retail use, and are comprised of commercial units in Retail Boulevard, Crystal Corridor, and such other areas designated by the Lessor.
Okada Manila Retail Manual (the "Manual")	Compilation of rules and regulations governing the use of the Leased Premises and Common Areas consisting of two parts: (1) "Design Criteria and Fit-Out Guidelines"; and (2) "House Rules and Regulations." The Manual includes all issuances, amendments and/or memoranda that may be passed by Lessor from time to time.

Part III.
THE LEASE

1. **Grant of the Lease**

1.1. The Lessor hereby leases to the Lessee a premium commercial space in Okada Manila, more particularly described in Part I and in the Key Plan attached to this Agreement as Schedule A.

1.2. The Key Plan is only for the purpose of showing the approximate location of the Leased Premises and therefore should not be construed as an agreement, representation or warranty as to the construction of any structure therein or the precise size, area or specific location thereof.

1.3. The Lessee confirms that it had the opportunity to inspect the Leased Premises, and approves of the suitability of the area in operating the Lessee's business. However, the Lessor does not guarantee the accuracy of the gross leasable area. It will be subject to final as-built measurement upon completion of the construction; and, if by final measurement there will be a more than plus-minus difference of 2.5 square meters, the Rent will be adjusted accordingly.

2. **Lease Term**

2.1. This Agreement shall be valid for the period stated in Part I, regardless of the date of signing by the parties, and shall automatically expire at the end of regular business hours, Manila Time, on the Lease End Date as specified in Part I, unless sooner terminated.

2.2. Option to Renew the Lease

2.2.1. The Lessor may extend or renew the lease for such period, and terms and conditions that the Parties may mutually agree upon; provided, that the Lessee shall have faithfully complied with all the terms of this Agreement without any outstanding payables, and that it shall have submitted to the Lessor a written request to extend or renew the lease at least three (3) months prior to the Lease End Date.

2.2.2. The extension or renewal contract must be signed at least one (1) month prior to Lease End Date; failing which, the Lessee shall vacate the Leased Premises on or before the expiration of the Agreement without the need of demand.

2.2.3. Where the Parties have formally agreed on the terms of the renewal but the Lessee subsequently opts not to continue for any reason, the Lessee shall nevertheless be obliged to pay the Rent equivalent to six (6) months of the agreed Rent for the Renewal Period/Term. The Security Deposit required for the renewal, and other prior payments to the Lessor shall also be forfeited in favor of Lessor. The Lessee shall completely restore the Leased Premises to its original state, and vacate the Leased Premises within thirty (30) days from the Lessee's Notice of Non-renewal/extension.

2.2.4. There shall be no implied renewal of lease. This Agreement shall expire by its term without an executed renewal contract, and the Lessee shall have thirty (30) days from Lease End Date within which to wind down its operations and vacate the Leased Premises. During such period, this Agreement shall govern insofar as may be applicable, including the obligation of the Lessee to pay Rent for such period that Lessee remains in the Leased Premises, which shall be computed at the rate stated in Part I (when the agreed rental scheme is by straight percentage, or as reasonably determined by the Lessor), until the

actual delivery of the Leased Premises to the Lessor in the condition that it was at Handover Date.

3. **Delivery of the Leased Premises and Fit Out**

3.1. The Lessor shall deliver the possession of the Leased Premises on Handover Date in bare shell condition. All leasehold improvements shall be provided by the Lessee at its own cost and expense.

3.2. Handover Date will be determined by the Lessor upon compliance of the Lessee to submit the pre-construction requirements set forth in Section 3.6 hereof, and the actual start of the Fit Out Period.

3.3. The Lessor shall provide the Lessee a copy of the following specifications of the Leased Premises that include, but not limited to (a) PDF file of the blow-up plan; (b) PDF file of the stub-out layout including the provisions for Electrical, Mechanical, Water and other stub-out whichever is available in the Leased Premises; (c) Key Plan, (d) Design Criteria and Fit Out Guideline; (e) Pre and Post Construction list of requirements. The Lessor may also provide, upon request of the Lessee and availability of the documents, a copy of CAD file of the blow-up plan and PDF file of the As-built plan.

3.4. The Lessor grants to the Lessee a Fit-Out Planning and Fit Out Period of four (4) months from Handover Date as stated in Part I. During this period, no rental shall be due to the Lessor, but the utilities used and other fees during the Fit-Out Period for works on the Leased Premises are payable from the commencement of the Fit-Out Period or occupation of the Leased Premises, whichever is earlier.

3.5. Water, LPG and electrical consumption, whichever is applicable, shall be individually sub-metered during the Fit Out period. The Lessee shall pay the Lessor consumption or usage charges not later than the tenth (10th) day of each month until the end of the Fit Out Period, or on such due date as may be specified in the billing statement.

3.6. Accordingly, after the signing of the Letter of Offer and payment of Reservation Deposit but not later than thirty (30) calendar days prior to the Fit-Out Period, the Lessee must submit the following requirements to the Lessor:

a) Proposed Fit Out Plan and such other documents as may be enumerated in the Pre-construction checklist provided by the Lessor;

b) Fit Out Guarantee equivalent to one (1) month Rent;

c) Construction Bond equivalent to one (1) month Rent.

d) Construction all-risk insurance acceptable to the Lessor to cover personal injury, death, or property damage claims in connection with the Fit Out, or otherwise caused by the fault, negligence or misconduct of the Lessee, its employees, agents, contractors, sub-contractors or representatives. Notwithstanding the limits and insuring conditions of the policy, Lessee shall fully indemnify and hold Lessor harmless against such liabilities.

e) Approved Building Permit from the City Building Official before the Lessee's contractor starts the Fit-Out Works on the Leased Premises.

3.7. Fit-Out Guarantee

To secure the timely completion of the Fit Out and ensure that the Leased Premises will be stocked ready and open for business by Start of Operation, the Lessee shall deposit with the Lessor a non-interest bearing Fit Out Guarantee equivalent to one (1) month Rent, plus VAT, which shall be forfeited as penalty in the following cases:

a) Unjustifiable delay in the completion of the Fit Out; or

b) Inability of the Lessee to open for business by Start of Operation, except when such date was moved by the Lessor through no fault of the Lessee.

c) VAT shall be applied upon forfeiture of the fit-out guarantee

d) The Fit Out Guarantee, inclusive of VAT, shall be returned without interests to the Lessee upon completion of the Fit Out to the satisfaction of the Lessor and timely open for business as prescribe in Part I, unless otherwise forfeited in accordance with the preceding paragraph.

3.8. Construction Bond

The Lessee shall post a Cash Construction Bond equivalent to one (1) month Rent, to answer and stand as security for the repair or reconstruction of any damage which may be caused to the Leased Premises or any portion of the Lessor's property arising out of or in connection with the fault or negligence of the Lessee, its contractors, suppliers or workers undertaking the construction or renovation or the failure of the Lessee to comply with the applicable construction guideline or rules issued by the Lessor. The Construction Bond shall be forfeited in the event of:

a) The Lessee's non-compliance with the Manual's Design Criteria and Fit Out Guidelines, which was not cured within fifteen (15) days following the receipt by the Lessee of notice from the Lessor demanding compliance (the "Curing Period"); or,

b) Deviation from the approved Fit Out Plan, which was not corrected within the Curing Period.

After the completion of the construction or renovation, the Construction Bond shall retain in the account of the Lessor and shall be converted to Demolition Bond that will be used at the end of the lease term as security of the Lessor for any damages to the Leased Premises that may occur during the demolition period as prescribe in Part VII Section 5 hereof, and is subject to increase as the Rent is increased.

In the event that the Construction Bond will be forfeited or insufficient due to any construction-related charges including but not limited to damages or injury that may be caused to the Leased Premises or the building as well as to third persons during the construction period arising directly or indirectly from said works, the Lessee shall replenish the deficiency of the Construction Bond within thirty (30) days after the completion of the construction.

3.9. Construction Delay

In the event that the Lessee unable to complete its store Fit Out and failure to open its business to public on the set date stated in Part I, due to the fault of the Lessee, its contractors, suppliers or workers undertaking the construction for whatsoever reason other than Force Majeure, the Fit Out Guarantee under Section 3.7 will automatically forfeited in favor of the Lessor, and the rental fee will start to commence based on the rental rates stated in Part I.

If the construction delay continues, and the Lessee still failed to operate the store within ninety (90) days from the original Start of Operation schedule in Part I, the Lessor has the right to terminate or rescind the Lease Agreement.

The Security Deposit, Advance Deposit and other payments made by the Lessee will be forfeited in favor of the Lessor.

3.10. Completion of Fit Out

Upon completion of Fit Out, the Lessor shall be entitled to inspect the Leased Premises. Lessor shall issue a Certificate of Construction Completion after finding that the Lessee has satisfactorily completed the Fit Out and has met all the requirements in the post Fit Out checklist provided by the Lessor.

Lessee shall be responsible in securing an Occupancy Permit from the City Building Official after it or its contractor completes the Fit Out works on the Leased Premises, and prior to the start of operations in the Leased Premises.

3.11. Start of Operation

The Lessee may only start its business operation once the Lessor has cleared the Lessee from any construction balances and upon completion of pre-opening checklist provided by the Lessor.

If the construction of the Leased Premises has been completed and cleared by the Lessor, but Lessee still failed to open its business to public on the set date stated in Part I due to the Lessee's failure to submit the pre-opening requirements provided by the Lessor on time, and or for whatsoever reason, the Fit Out Guarantee under Section 3.7 will automatically forfeited in favor of the Lessor, and the rental fee will start to commence based on the rental rates stated in Part I.

Part IV.
PAYMENT OBLIGATIONS

1. **Rent**

1.1. Advance Rent

Upon the effectivity or the actual signing of this Agreement by both parties, whichever comes earlier, the Lessee shall make an Advance Rent payment equivalent to three (3) months' Rent of the last Lease Year. The VAT shall be for the account of the Lessee, if applicable under the law. The Deposit shall not earn interest and shall be applied to the last three (3) months of the Lease Term, and is subject to increase as the Rent is increased.

1.2. Monthly Rent

Upon Rent Commencement Date stated in Part 1, the Lessee shall pay the Lessor the monthly Rent plus VAT less applicable withholding taxes, which shall be subject to yearly escalation at the rate stated in Part 1.

All Rent shall be payable on such due date specified in the billing statement without prior demand or any right of setoffs or deduction.

1.3. Should the Lessee make installations outside the Leased Premises but within the building such as, but not limited to, air-conditioning units, the Lessee shall be charged the corresponding Rent, and the deposit, fees and charges under this Agreement shall be adjusted accordingly based on the floor area occupied by such installations.

2. **Security Deposit**

2.1. Upon the effectivity or the actual signing of this Agreement by both parties, whichever comes earlier, the Lessee shall make a Security Deposit equivalent to three (3) months' Rent of the last Lease Year, which must remain intact all throughout the Lease Term and is subject to increase as the Rent is increased. The Reservation Deposit shall be credited to the Security Deposit.

2.2. After the end of the lease for whatever reason, any unpaid obligation of the Lessee, including damages to the Leased Premises or any claim on account of the non-performance or breach by the Lessee of its obligations may be, at the sole option of the Lessor, charged against the Security Deposit, without prejudice to the right of the Lessor to collect any deficiency.

The Security Deposit, or the remainder thereof, shall be returned to the Lessee, without interests, not earlier than sixty (60) days after the Lessee has completely vacated the Leased Premises and delivered the Leased Premises to the Lessor in the condition that it was at Handover Date under Part VII Section 5 thereof, and provided that the Lessee has cleared from any accountabilities and settled all its unpaid obligations, unless forfeited on grounds provided under this Agreement.

3. **Common Use Service Area (CUSA) Charges**

After the Fit Out Period, the Lessee shall share in the cost of management, administration, maintenance, control operation, security service, garbage disposal, pest control, hygiene inspection, lobby, hall ways and other shared spaces that can be used by all tenants and its customers, , which shall be billed as Common Use Service Area (CUSA) charges, payable on such due date as may be specified in the billing/invoice..

The rate of CUSA Charges shall be subject to the Lessor's review and escalation with written notice to the Lessee prior to imposition.

The lease only grants the Lessor access to the Common Areas to enable the Lessee to use and enjoy the Leased Premises. It is understood that the Lessee's privilege to use Common Areas is not exclusive. This privilege is not an integral part of this Agreement and may be restricted or regulated at any time by the Lessor at its sole discretion. The use of the Common Areas shall be subject to such reasonable regulations and charges as Lessor shall make from time to time, which shall include, but not be limited to, the right to close permanently, if necessary, all or any portion of the Common Areas, to such extent as may be legally sufficient in the opinion of Lessor to prevent the accrual of

rights of any person or of the public therein, or to close temporarily all or any portion of the Common Areas.

Accordingly, without the Lessor's written consent, no property of the Lessee shall be placed in the Common Areas and the Lessor shall have the right to cause the removal of property belonging to the Lessee found in or within the corridors, hallways, or other Common Areas and charge the cost of removal, handling, and storage (if necessary) to the Lessee. In case the business of the Lessee is considered to be a high-traffic business, the Lessee shall provide adequate space within the Leased Premises for use as waiting area for its visitors or clients.

The Lessor reserves the right to conduct maintenance and repair works, including diggings and excavations within and around the Hotel and its perimeter wall, including the parking areas, driveways and similar areas within the Hotel and no compensation or claim shall be made by Lessee against Lessor by reason of any inconvenience, annoyance, injury and/or interruption to Lessee's business as a result thereof.

4. **Air-conditioning Charges**

The Lessee is obliged to enter into an exclusive supply agreement for chilled water connection with the Lessor, which shall be billed as Air-conditioning Fee payable on such due date as may be specified in the billing/invoice..

The Lessee shall provide, at its sole expense its own air-conditioning unit(s) in the Leased Premises as well as the requisite connection for the installation thereof, provided that the Lessee shall first obtain the prior written consent and approval of Lessor as regards to the type, voltage, capacity and number of air-conditioning unit(s) in the Leased Premises. All costs of the installation of the own air-conditioning unit(s) in the Leased Premises shall also be borne by the Lessee.

The Air-conditioning Fee shall be subject to the Lessor's yearly review and escalation, with written notice to the Lessee prior to imposition.

5. **Utilities and Services**

5.1. Water, Liquefied Petroleum Gas (LPG), Electricity and other Utilities

Water, LPG and electrical consumption shall be individually sub-metered. The Lessee shall pay the Lessor consumption or usage charges on such due date as may be specified in the billing statement. A ten percent (10%) administration fee, subject to applicable taxes, will be added to the cost of the utilities to cover the administration and maintenance fees of the utilities.

Telephone, fax, cable TV, internet and other utility services shall be obtained by the Lessee directly from public utility companies. Subscription and consumption fees shall be settled by the Lessee directly with its utility providers.

5.2. Back-up Power

The Lessor will provide the Lessee with 100% back-up power with Automatic Transfer Switch systems. In the event of normal power failure, the generator will supply power to meet the Lessee's electrical load.

The Lessor assumes no responsibility for the inadequacy, quality interruption or disconnection of the utilities or services consumed in or supplied to the Leased Premises.

6. **Disconnection of Utilities**

In the event that the Lessee fails to pay for the charges or fees incurred in connection with the supply, consumption and use of electricity, water and other applicable services and utilities to the Leased Premises for a period of two (2) consecutive months, the Lessor shall have right to disconnect or discontinue the supply without prior notice until the Lessee shall have settled its obligation in full, and has paid the charges for the reconnection of the utilities as may require by the Lessor.

7. **Taxes**

7.1. Rent and other charges are subject to Value Added Tax ("VAT") and other applicable taxes, which shall be for the account of the Lessee.

7.2. The Lessee shall withhold the applicable expanded withholding tax ("EWT") on the Lessor's Rent income, and shall remit it directly to the Bureau of Internal Revenue ("BIR"). Such taxes withheld and remitted shall be credited in favor of the Lessor in the pertinent tax return. Should the Lessee fail to remit, or delay remittance, of the taxes due the BIR, the full cost of the taxes including all the corresponding penalties, interest, administrative fines and cost of remittance to the BIR that will accrue, shall be borne by the Lessee.

The Lessee shall also submit to the Lessor three (3) copies of the Certificate of Creditable Tax Withheld at Source returns (BIR Form No. 2307) together with the monthly Rent payment. In the event that the Lessee fails to provide, or delays in providing, the Lessor copies of the pertinent Certificate within 30 days from the time EWT withheld, the total amount shall incur interest and penalty at the rate stated in Section 8.1. The Lessee shall be liable to the Lessor for any damage that it shall suffer due to such delay or non-submission.

All Certificate of Creditable Tax Withheld at Source returns (BIR Form No. 2307) must be submitted to the Lessor within the calendar year it is applicable or until December 31 of the current year. The Lessee's failure to submit a copy to the Lessor of any or all the pertinent certificate, the Lessee shall be liable to pay the equivalent amount of the tax withheld to the Lessor.

7.3. The documentary stamp tax ("DST") arising from the execution of this Agreement shall be for the account of the Lessee. The Lessee shall remit payment of DST within the period prescribed by relevant BIR regulations and shall provide the Lessor with duplicate original copy of DST Return (BIR Form No. 2000) including validated proof of payment within three (3) days from such payment.

Should the Lessee fail to pay DST within the period prescribed by law, the DST due including all the corresponding penalties, interest, surcharge and administrative fines by reason of none or delayed payment, shall be for the account of the Lessee.

Should the DST filed and paid by the lessee be assessed by tax authorities for deficiency, the Lessee shall hold Lessor free and harmless of accountability and shall immediately indemnify Lessor the corresponding value of the DST plus any related interest, penalties and surcharge upon receipt of notice from Lessor

7.4. The real estate tax on the building shall be for the account of the Lessor. Real estate taxes on improvements that will be introduced by the Lessee in the Leased Premises shall be for the Lessee's account.

8. **Late Payment**

8.1. Late payments of any amount due to the Lessor (including, but not limited to, unpaid Rents, Security Deposit, Advance Rent, CUSA Charges, VAT, and other applicable taxes) shall bear an interest at the rate of two percent (2%) per month, or at the maximum prevailing interest rate allowed by the law or set by commercial practice, to be determined solely by the Lessor from the time that the amount becomes due, whichever is higher, computed from the date of delinquency until full payment.

The total amount due to the Lessor, inclusive of interest shall further be subject to a penalty of three percent (3%) to be computed from the date of delinquency until actual payment in full.

All arrears/outstanding balance shall be subject to compounded interests and penalties as stated above until full payment is made.

8.2. Any payment received by the Lessor shall be applied against the statement of account or billing with the earliest date. Where the payment of interest, penalty, rent or other charges is covered by one statement of account, then the payment received by the Lessor shall be applied to the payment of obligations stated therein in the following order of priority:

a) first, against the interest and penalty charges due;

b) second, against VAT and other taxes, Security Deposit, Advance Rent, CUSA Charges; and,

c) finally, unpaid Rent.

8.3. Should any amount remain unpaid after fifteen (15) days from due date, the Lessor may cut off services and utilities without prior notice. Should the amount due still remain unpaid for two consecutive months from the original due date, the Lessor may padlock the Leased Premises and exercise its right to terminate and cancel this Agreement.

8.4. In the event of utility shutdown and or store closure due to the unpaid obligations by the Lessee, the Lessee shall be liable to pay the rental fee and other fix charges to the Lessor without any interruption.

8.5. Lessee's unpaid charges shall constitute a preferred lien on all the personal properties of the Lessee within the Leased Premises in accordance with Articles 2241 and 2243 of the Civil Code of the Philippines (*Republic Act No. 386*). For this purpose, the Lessor is hereby authorized to prevent the removal of said properties from the Leased Premises, or demand their return from any possessor should they have been removed without the prior written consent of Lessor.

Part V.
SALES REPORTING FOR PERCENTAGE LEASE

1. **Percentage Rent**

The Lessee shall pay on such due date may be specified in the billing statement, Rental equivalent of Percentage of Gross Sales stated in Part I for the preceding calendar month of business operation in the Leased Premises.

If no applicable percentage rental is stated in Part I, the Lessee shall still be obliged to submit the sales report to the Lessor as reference of the Lessee's monthly evaluation of its performance.

2. **Monitoring of Sales**

2.1. The Lessee hereby agrees to the daily monitoring of its sales, and shall allow the Lessor to retrieve sales data, to conduct reading of cash register tapes, to require submission of tapes or summary of periodic sales report, and to conduct at any time an audit of all such records of Lessee's transactions in accordance with the Manual's House Rules. The Lessor reserves the right to amend the Manual from time to time, and to adopt or change its electronic recording and processing systems as it may deem necessary.

2.2. Point-of-Sale (POS) System

There shall be an electronic payment processing and recording system (the "System") to monitor the sales and operations of the Lessee. Lessee shall therefore install in the Leased Premises POS machines with communication capabilities that will allow direct system-to-system interface with the System. The Lessee may also be required to obtain software and equipment necessary to ensure reliable connectivity, and to adopt System-compatible recording documentation methods and procedures. All costs necessary to comply with these requirements, or to satisfy new requirements whenever the System is upgraded, shall be at Lessee's own expense.

The Lessee may only use POS device and software approved by, or sourced exclusively from suppliers accredited with, the Lessor. The Lessee shall be responsible for obtaining from the BIR the requisite permit to use its POS machine, including all associated costs and expenses.

2.3. The Lessee understands that Okada Manila is offering "Reward Circle", a membership loyalty program that allows guests to earn and redeem points every time they play, shop or stay at the integrated resort. Lessee will be encouraged to participate in the program and allow the installation of WANG Point-of-Sale (WANGPos) terminal within the Leased Premises for accumulation and tabulation of loyalty points. A special feature will be also installed in the Lessee's POS in accordance with the Reward Circle General Guidelines and Reward Circle Memorandum of Agreement.

3. **Reporting of Sales**

3.1. Books of Account and Records

The Lessee shall maintain books of accounts and other business records as the Lessor may deem reasonably necessary to determine Lessee's Gross Sales. All such records shall be preserved for a period of ten (10) years. In case Lessee has other branches, it shall keep separate records of its sales derived from the Leased Premises.

The Lessee shall faithfully and accurately record and report all its transactions. Any misrepresentation in the reading and/or reporting, i.e., invoicing or registering in the machine, etc., shall be a ground for imposition of penalties as may be prescribed by the Okada Manila Retail Manual, without prejudice to the Lessor's other available rights and remedies.

3.2. Declaration of Gross Sales

The Lessee shall declare its Gross Sales made in, upon or from the Leased Premises: (a) on a daily basis by submitting daily sales report or Z-reading tapes to the Lessor at the close of mall hours each day; (b) within the first three days of each month, by submitting certified monthly sales report of the immediately preceding month; and (c) within the first five days of each year, by furnishing the Lessor a certified statement setting forth the Gross Sales made during the preceding year, itemized in months.

Part VI.
USE MAINTENANCE AND IMPROVEMENTS

1. **Permitted Use**

1.1. The leased premises shall be used for the sole purpose of operating the store under the brand or trade name specified in Part I. The Lessee shall be allowed to access the Leased Premises in a manner consistent with its operation as a business entity and in accordance with Okada Manila Retail Manual.

1.2. The Lessee may use an area not exceeding fifteen percent (15%) of the gross leasable area for office, clerical or other administrative purposes as may be necessary to the Lessee's operations in the Leased Premises. Not less than thirty percent (30%) of the gross leasable area should be used as kitchen space.

1.3. The Lessee shall not convert the use of the Leased Premises for any other purpose without the prior written consent of the Lessor, provided that such conversion shall be allowed under this Agreement.

1.4. The Lessee shall conduct its activities in a reputable manner and in strict compliance with the Okada Manila Retail Manual.

2. **Prohibition on the Use of the Leased Premises**

1.1 The Lessee shall not use the Leased Premises in any improper manner or any purpose other than the purpose intended in this Agreement.

1.2 The Lessee shall not use the Leased Premises as sleeping quarters or domestic premises, nor shall the Lessee permit any person to remain in the Leased Premises overnight, unless required by the exigencies of the Lessee's business and subject to the Lessor's written approval, nor shall the Leased Premises be used for drying laundry, hanging, placing, or storing article of clothing or similar items.

1.3 The Lessee shall not allow the Leased Premises to be used for any illegal or immoral purpose, or in any manner which may be cause for imposition of a fine, forfeiture or penalty against the Lessor under the applicable laws.

1.4 The Lessee shall not keep, store or permit or suffer to be kept and stored any dangerous goods or other explosive or hazardous substance.

1.5 No auction, bankruptcy, close-down or similar sales of the assets of the Lessee shall be conducted in the Leased Premises.

3. **Conduct of Business**

3.1. The Lessee shall fully operate and open the Leased Premises in a standard of 5-star Hotel for business seven (7) days a week on such store hours as may be prescribed by the Lessor. Except in specific instances where a brief, temporary closure may be allowed under the Okada Manila Retail Manual, suspension of operation will give the Lessor the right to terminate this Agreement by prior written notice of fifteen (15) days to the Lessee.

3.2. All transactions of the Lessee must be covered by appropriate sales invoice bearing the name of Lessee's retail store and registered in Point-of-Sale (POS) machines approved by, or sourced exclusively from suppliers accredited with, the Lessor. The Lessee shall be responsible for obtaining from the BIR the requisite permit to use its POS terminal, including all associated costs and expenses.

3.3. The Lessee understands that Okada Manila is offering "Reward Circle", a membership loyalty program that allows guests to earn and redeem points every time they play, shop or stay at the integrated resort. Lessee will be encouraged to participate in the program and allow the installation of WANG Point-of-Sale (WANGPos) terminal within the Leased Premises for accumulation and tabulation of loyalty points.

3.4. The Lessee at all times must conduct its business in the Leased Premises in a reputable manner and in strict compliance with Okada Manila Retail Manual.

4. **Lessor's Maintenance Right**

4.1. The Lessee acknowledges that the Lessor holds the right to continuously improve Okada Manila Retail including the Leased Premises, and to make whatever modification or change as it may reasonably desire. In exercising such right, the Lessor confirms that it will exert its best efforts to minimize, if not entirely avoid, inconvenience to the Lessee.

4.2. Should it become unavoidable, the Lessor may, by serving the Lessee with prior written notice, require the Lessee to move out from the Leased Premises and transfer to another unit of comparable size for which it shall be given a rent-free Fit Out period of two (2) months. The Lessee has the right to accept or reject the proposed relocation. Should the Lessee refuse to relocate, this Agreement may be terminated and the Lessor shall refund to the Lessee such unused amount of the Rent and other fees and charges paid by the Lessee.

5. **Lessee's Improvements and Maintenance Obligations**

5.1. The Lessee shall, at its own expense and at all times during the Lease Term, maintain the Leased Premises in excellent condition. The maintenance and repair of the Leased Premises shall be in accordance with the policies and guidelines of the Okada Manila Retail Manual.

5.2. The Lessee may alter, make addition or improve the Leased Premises by submitting an application to the Lessor together with the proposed plans and specifications. No works may be performed on the Leased Premises until the Lessor issues a notice to proceed, which shall not be unreasonably withheld for as long as the application complies with all the requirements of the Manual.

Any alteration, addition or improvement made without the Lessor's permission or in violation of the Manual shall give the Lessor the right to demand the immediate restoration of the

Leased Premises to its original state, or rectification of any deviation to conform to the Manual. All expenses shall be for the account of the Lessee.

6. **Lessor's Access**

6.1. The Lessor, its agents, engineers, contractors, employees and other representatives shall have the right to enter the Leased Premises to view the state and condition, and if necessary, to carry out repairs, renovations, maintenance or alternations to the Leased Premises in compliance with the Lessor's obligations under this Agreement or under the Okada Manila Retail Manual.

The Lessee shall be served with an advance notice stating the intended date and hour of inspection, which shall be conducted on reasonable business hours and at the least inconvenience to the Lessee. No written notice is necessary in emergency cases and for random spot checks that the Lessor may conduct at any given time.

6.2. Should a threat of, or an actual, emergency situation occur, the Lessor may enter the Leased Premises using a master key held by the Lessor. In such an event, the Lessor shall notify the Lessee of such use as soon as practicable. This Lessor's right of access will continue until an emergency situation and its after-effect are determined by the Lessor to have been resolved. The master key shall be kept by the Lessor in a highly-secured and locked cabinet and held under the control of the Lessor.

7. **Insurance**

7.1. The Lessee shall, at its own cost, obtain insurance coverage with a reputable insurance company acceptable to the Lessor. The insurance must have all the features, and must comply with the requirements, prescribed under the Okada Manila Retail Manual. The following should be maintained throughout the Lease Term.

a) All Risks Property Insurance to cover the Leased Premises and all of the Lessee's assets contained therein at replacement values and the Rent and other fees, charges and dues from the date of loss of use of the Leased Premises until re-establishment of the Lessee's occupancy;

b) Third Party Liability Insurance in the joint names of the Lessor and the Lessee. Where the Lessee distributes or markets food, consumable or durable products from the Leased Premises, Product Liability Insurance to cover third party loss or damage of a personal or financial nature arising from or attributable to the Leased Premises or any business carried on therein or any accident occurring in or upon the Leased Premises; and

c) Where the Lessee or its agents or contractors conduct any work on the Leased Premises, Contractor's All Risk Insurance, and Workers' Compensation Insurance in compliance with prevailing statutory requirements.

7.2. The Lessee shall submit to the Lessor: (a) copies of Contractor's All Risk Insurance together with proof of payment of premiums before Fit Out or any type of construction, alteration or renovation works; and (2) copies of property and third liability insurance with proof of payment of premiums before Opening Date. Should the Lessee fail to insure or keep insured the Leased Premises, the Lessor may do so on behalf of the Lessee and recover the full cost of

such insurance from the Lessee plus reasonable administration fees, without prejudice to other legal remedies available to the Lessor.

8. **Destruction and Restoration**

8.1. In case of damage by fire or other casualty to the building in which the Leased Premises are located, the Lessor shall repair the damage with reasonable dispatch. If the damage is of such extent that will render the Leased Premises temporarily uninhabitable, there shall be an appropriate reduction in Rent and other charges, fees and dues until the Leased Premises can be restored and the Lessee, resume operations. However, should there be another available commercial space within Okada Manila Retail acceptable to the Lessee, the Lessee may be relocated temporarily or permanently, and there shall be corresponding adjustment of Rent, charges, fees and dues.

If in the opinion of the Lessor, the damage is of such extent as to make it impractical or commercially unviable to restore the Leased Premises, this Agreement shall terminate forthwith, and the obligation for Rent and other charges, fees and dues shall cease from the time of the damage.

9. **Force Majeure**

9.1. No party shall terminate this Agreement due solely to the other party's failure to continue its normal and usual business operations by reason of the occurrence of force majeure or Acts of God. For purposes of this Agreement, force majeure shall include temporary suspension of business when required by the government authority, or caused by natural calamities like earthquake, fire, plague, pandemic, epidemic or any natural or global public health or security crisis. This clause shall not be applicable if there is partial or full negligence that is attributable to the Lessee.

9.2. The Lessee shall give the Lessor a written notice of any damage caused to the Leased Premises by reason of Force Majeure within five (5) days from the occurrence thereof. If in the opinion of the Lessor, the damage is of such extent as to make it impractical or commercially unviable to restore the Leased Premises as determined by a competent selected contractor of the Lessor, this Agreement shall terminate forthwith, and the obligation for Rent and other charges, fees and dues shall cease from the time of the damage. The Lessor shall also return to the Lessee the Security Deposit less valid deductions, and the remainder of the Advance Deposit, if any.

9.3. In the event that the improvements constructed by Lessee on the Leased Premises are damaged or destroyed, in whole or in part, by typhoon, fire, earthquake, or other casualty or by causes not arising from the fault or negligence of either party, Lessee shall have the option either to terminate this Contract or to continue with the same. If Lessee elects to terminate the lease, Lessee shall immediately vacate the Leased Premises and shall only be responsible for rental accruing to the date of vacating the leased premises. The Lessor shall also return to the Lessee the Security Deposit less valid deductions, and the remainder of the Advance Deposit, if any.

9.4. If the Lessee elects to continue with the lease, Lessee shall immediately commence reconstruction or repair of the building or improvements within a reasonable period after the event, or immediately after it is declared that status and condition of the building or improvements is safe to commence repairs in accordance with the Lessors fit-out guidelines.

The rental provided for herein shall be suspended from the date of the destruction to the date upon which Lessee's business reopens to the public.

All design and layouts must be approved by the Lessor prior to actual reconstruction of the Leased Premises, including the time frame of the construction and the actual re-opening date. Necessary permits must be secured by Lessee in government agencies relative to its construction activity. All cost of reconstruction of the Leased Premises due to damages arising from force majeure must be solely at the expense of the Lessee.

9.5. In no case shall any compensation or claim be allowed against the Lessor by reason of the interruption, annoyance or injury caused to the Lessee or its property arising from any interruption in the use or possession of the Leased Premises or the repair of any portion of the Hotel or the Leased Premises.

Part VII.
TERMINATION AND OTHER REMEDIES

1. **Termination by Lessor:**

1.1. The Lessor has the right to terminate this contract at any time for any reason by giving written notice to the Lessee at least one (1) month prior to the intended date of termination. Upon such pre-termination, Lessee will be liable only for such Rent and fees accruing up to the effective date of termination. However, if the pre-termination is due to reasons not attributable to the fault of the Lessee, the Lessor shall be liable to the Lessee for the cost of the improvements (introduced by the Lessee) properly substantiated by the Lessee with a detailed list of improvements and official receipts, less the cost of depreciation. Furthermore, in the event of pre-termination by the Lessor without breach by the Lessee, any unused Security Deposit and Advanced Rent payment, shall be returned in accordance with the provisions of this contract, without interest, but less any allowable deductions provided under this Agreement, including but not limited to repairs or unpaid rental.

2. **Events of Default**

2.1. Upon occurrence of any default by the Lessee, the Lessor shall be entitled to suspend or pre-terminate this Agreement, which pre-termination shall take effect immediately upon service of written notice to the Lessee:

a) Any amount or any charge or fee due under this Agreement remains unpaid for more than two (2) consecutive months whether or not a formal or legal demand has been made;

b) The Lessee misrepresented the sales data either inadvertently or on purpose, which sales were part of the percentage rental calculation.

c) Failure to comply with the applicable laws governing the operation of the Lessee's business, and/or failure to submit or comply with the Lessor's requirements;

d) The Lessee has committed a breach of this Agreement, or has violated the Okada Manila Retail Manual, and the Lessee has failed to cure such breach or violation within fifteen (15) days from notice, or when the breach is not capable of rectification by the Lessee;

e) The Lessee becomes bankrupt, enters into liquidation, makes a general assignment for the benefit of creditors or commits any act of insolvency, or if any similar proceedings are instituted by or against the Lessee, or if a permanent receiver or trustee in bankruptcy shall be appointed for the Lessee's property and not discharged within thirty (30) days;

f) The Leased Premises becomes vacant or abandoned, or the Lessee has failed to render Fit-Out Works within the Fit-Out Period (unless the Lessor grants the Lessee additional time to complete the Fit-Out), or open for business for a period of seven (7) consecutive days from the expected Start of Operations due to causes not attributable to the Lessor

g) The Lessee has sublet, assigned, transferred or sold its rights, interests and obligations to the Leased Premises in any manner whatsoever without the Lessor's prior written consent;

h) Revocation of the Lessee's franchise or distribution rights; or revocation or absence of the approval, permits, clearance or license for the lawful occupancy of the Leased Premises or for the legitimate conduct of Lessee's business in the Philippines;

i) The Lessee is in actual or potential breach of any law or regulatory requirements;

j) Continuous or habitual violation by the Lessee of the Lessor's guidelines;

k) The Lessee devotes the Leased Premises to some other purpose, other than the Permitted Use without the prior written consent of the Lessor; or

l) Any other ground analogous to the foregoing.

2.2. In case of termination by the Lessor under Section 2.1 hereof:

a) All sums paid by the Lessee to the Lessor, including but not limited to the Security Deposit, Advance Rent payment, Reservation Deposit, shall be forfeited in favor of the Lessor, without prejudice to the right of the Lessor to collect the deficiency

b) The Lessee shall be liable for the Rent for the remaining Lease Term computed at the rate stated in Part I, or based on the prevailing Fair Market Value from the date of termination until the Lease End Date, or as prescribed by the Lessor;

c) The Lessee shall immediately vacate the Leased Premises and surrender the same to Lessor in the same condition as it was handed to the Lessee;

d) The Lessor shall have the right to padlock the Leased Premises, cut the supply of utilities to the Leased Premises, and repossess the Leased Premises and take possession of all properties found within the Leased Premises, and dispose of the same in a manner deemed appropriate by the Lessor, without need of notice to the Lessee;

e) The Lessor may conduct an inventory of the equipment, furniture, articles or merchandise found in the Leased Premises. The same shall be removed from the Leased Premises and the corresponding storage fees shall be paid for by the Lessee;

f) The Lessor may dispose of the property found in the Leased Premises within thirty (30) days from the date the Lessor takes back the possession of the Leased Premises in such manner and at such price as the Lessor may deem fit. The Lessor may deduct from the proceeds of the sale all sums due from the Lessee, including the reasonable expenses in removing such personal properties from the Leased Premises, storage cost of the Lessee's properties, the cost of restoring the Leased Premises to its original condition, and damages suffered by the Lessor; provided that if the proceeds are insufficient for such purpose, the Lessee shall remain liable for the deficiency;

If the proceeds for the disposal of the Lessee's properties exceed the Lessee's liability, the Lessee may claim the excess amount from the Lessor within sixty (60) days without interest, and after the Lessee settles its final obligations with the Lessor. Failure to claim within the said period will be a ground for forfeiture of the said amount in favor of the Lessor. The Lessor may lease out the Leased Premises to others.

g) Should the Lessor be compelled to seek judicial relief against the Lessee or any of its employees, agents or representatives, the latter shall, in addition to the damages mentioned above, pay an amount equivalent to twenty per cent (20%) of the amount claimed in the complaint, as attorney's fees which in no case shall be less than Fifty Thousand Pesos (P50,000.00), aside from the costs of the litigation and other expenses which the law may entitle the LESSOR to recover from the LESSEE.

3. **Termination by Natural Expiration of the Lease**

3.1. If the Lease term is not extended by the Parties prior to Lease End Date, this Agreement shall automatically expire on Lease End Date.

3.2. The Advance Rent paid upon commencement of the lease shall be applied in payment of the monthly Base Rent for the last three months of the lease. Notwithstanding such application of payment, the Lessor shall continue to bill the Lessee of its monthly Rent for the percentage rent difference until Lease End Date.

3.3. Rent, CUSA, Air-conditioning charges, sub-metered utilities and other costs shall continue to accrue until the Lessee actually vacates the premises.

4. **Suspension of Operation**

4.1. Alternatively, the Lessor has the right to suspend the Lessee's operation on the following grounds, which suspension shall take effect immediately upon service of the written notice to the Lessee:

a) Any amount that remains outstanding for two (2) consecutive months from the date of its original specified due date, this includes but not limited to, Rental Fees, Utility Charges, CUSA, Air-con and other charges.

b) Habitual or 3 instances of delays in submission of sales data whether on a daily basis or on a monthly basis.

c) Unauthorized use of the Leased Premises outlined in Part VI Section 2 of this Agreement.

d) Habitual, severe, and continuous violations committed by the Lessee, its employees and authorized representatives not cured in accordance with the Okada Manila Retail Manual.

e) Non-submission of renewed government permits, clearances and or other related license for the lawful occupancy of the Leased Premises or for the legitimate conduct of Lessee's business in the Philippines, within 15 days prior to expiry dates.

f) Any other ground analogous to the foregoing.

4.2. In case of suspension by the Lessor under Section 4.1 hereof:

a) Rental fee and other fixed charges shall continue to accrue for the account of the Lessee. Rental Fee shall be computed at the rate stated in Part I or based on the prevailing Fair Market Value from the date of suspension or as prescribed by the Lessor.

b) During the suspension, the Lessee is strictly prohibited from removing any properties from the Leased Premises, except for perishable items.

The Lessor shall not be liable for any loss that the Lessee may incur during the suspension period, which includes loss of income, spoilage, or damage to property.

c) If any of the grounds under Section 4.1 above is not cured within fifteen (15) days from the date of actual suspension or as specified by the Lessor, the Lessor has the right to terminate this Agreement for breach of this Agreement.

5. **Surrender of Leased Premises**

5.1. Two (2) months prior to the expiration, or termination for whatever reason, of the Lease Term, the Lessor shall be free to advertise and offer the Leased Premises to the public. During such period, the Lessee shall allow the Lessor and prospective tenants to inspect the Leased Premises during business hours and upon one (1) day's prior written notice.

5.2. At the expiration of the Lease Term or at the termination of this Agreement for whatever reason, the Lessee shall surrender the Leased Premises to the Lessor in the condition that it was at Handover Date (reasonable wear and tear excepted).

The Lessee shall remove all signs, names, notices or advertisements, internal partitions, fixtures, installations and improvements at its own cost and shall repair all damage caused to the Leased Premises by such removal. Should it fail to do so, the Lessor shall undertake the restoration works but the cost shall be shouldered entirely by the Lessee. For this purpose, the Lessor may forfeit the demolition bond and proceed against the Lessee if there are deficiencies.

5.3. All immovable improvements made by the Lessee on the Leased Premises, which could not be removed without causing damage to the Leased Premises or compromising the structural integrity of the building, shall become the Lessor's property without any obligation to reimburse the Lessee for their value.

5.4. The Lessee shall return to the Lessor any property belonging to the Lessor used by the Lessee during the Term such glass panels, glass doors, door handles and door accessories, and install it in the Leased Premises as it was at Handover Date. The cost of re-installation or refurbishment shall be for the account of the Lessee.

5.5. If the Lessee continuously delays the handover/return of the Leased Premises or has abandoned the Leased Premises for more than thirty (30) days, the Lessor shall undertake the restoration works on behalf of the Leased Premises, without need of notice. The Lessor has the right to collect the cost for restoration, Rent until the completion of restoration works, utility charges, and any damages suffered by the Lessor as a result of the delayed handover or abandonment of the Leased Premises by the Lessee. Lessor shall forfeit the demolition bond in favor of the Lessor and claim from the Lessee for any deficiencies.

Any movable or immovable items belonging to the Lessee and found inside the Leased Premises shall be removed and disposed of by the Lessor without need of notice, and without any obligation on the part of the Lessor to reimburse the Lessee for the proceeds.

6. **Indemnity**

6.1. The Lessee shall indemnify, defend, and hold harmless the Lessor, its directors, employees, agents, representatives and shareholders from and against any claims, demands, actions, proceedings, liabilities, damages, losses, costs, charges and expenses of any nature arising out of, or in connection with, this Agreement or the use of the Leased Premises, claimed by any person for personal injury, death, or loss of, or damage to, property resulting from willful or negligent acts or omissions or fault of the Lessee, its employees, agents and representatives, provided that there is no fault or negligence on the part of the Lessor, its directors, employees, agents, representatives and shareholders.

6.2. The Lessee agrees to assume all liability for damages and losses incurred due to its fault or negligence or that of its employees, agents, representatives, or guests, in connection with the Leased Premises, including, but not limited to, losses associated with: (i) theft occurring in the Leased Premises, (ii) any damage or injury to goods, wares, merchandise, or property of any kind located in the Leased Premises, including damage to the Leased Premises, or damage to the property of the Lessee, or of the employees, agents, representatives, or guests of either Party, or (iii) injury or death of any persons including employees, agents, representatives or guests of either Party in or about the Leased Premises, unless such losses, damages, injury or death are caused by any fault or negligence of the Lessor, its agents, employees or representatives. The Lessee shall assume all liability for damages, losses, injuries or claims relating to the sale, use or consumption of the products the lessee is selling including claims or losses arising from the services provided by the lessee.

6.3. Each Party may, on their own, insure their respective assets situated in the Leased Premises to the extent of their insurable interest thereon, and each shall have no recourse to the insurance proceeds obtained by the other, unless the other Party was at fault or acted negligently in bringing about the contingency insured against.

7. **No Waiver or Estoppel**

Failure by the Lessor to insist upon the strict performance of this Agreement or to exercise any right or remedy available on a breach thereof, and the acceptance of full or partial Rent from the Lessee during the continuance of any breach shall not be construed as waiver of any legal right available to the Lessor and shall not bar the Lessor from questioning such breach.

Part VIII.
OTHER COVENANTS

1. **Compliance with Laws, Rules and Regulations**

1.1. The Lessee must comply with any existing and future laws and regulations governing the retail trade operations, including, but not limited to the Retail Trade Liberalization Act (Republic Act No. 8762), Amended Retail Trade Liberalization Act (Republic Act No. 11595), Anti-Dummy Law (Commonwealth Act No. 108), and other relevant laws and regulations applicable to the Lessee's business.

1.2. The Lessee shall be responsible for ensuring that any and all activities conducted within the Leased Premises, as well as within Okada Manila, do not violate any law, ordinance, rules and regulations. It shall strictly comply with all government regulations and requirements including, but not limited to, local government Business Licensing Office (Business Permit, Barangay Clearance, Liquor Permit, etc.), BIR regulations, health, safety, and sanitation regulations, Fire Code, Building Code, Electrical Code and Department of Environment and Natural Resources environmental protection laws, Food and Drug Administration (FDA) regulations, VAPE Law, Department of Trade and Industry (DTI) regulations and other existing applicable law related to the Lessee's business operation.

1.3. The Lessee shall submit to the Lessor copies of all permits and licenses from all relevant national and local government agencies necessary to pursue and conduct its activities on the Leased Premises prior to the Start of Operations and before actual pursuit and conduct of its business activities.

1.4. Should the Lessee undertake any Fit-Out, renovation, or construction work in the Leased Premises, it shall be responsible in securing a Building Permit, Alteration Permit, and Occupancy Permit from the City Building Official after it or its contractor completes the work, and before the resumption of operations in the Leased Premises.

1.5. The Lessee shall be responsible in ensuring that all the aforementioned permits and licenses are renewed and updated on time. Any future government issuances and regulations must also be complied with by the Lessee. The Lessee's failure to comply with the requirements under this Section is a ground for outright termination by the Lessor.

2. **Assignment and Sublease**

2.1. The Lessee shall not directly or indirectly assign or transfer this Agreement or any interest therein, or sublease the whole or any part of the Leased Premises, without the prior written consent of the Lessor.

2.2. Lessee shall not mortgage, encumber or create any security interest in and to the leasehold rights granted under this Agreement.

2.3. Without need of obtaining the Lessee's prior written consent, the Lessor may assign this Agreement or any of its rights, interests or obligations herein, in favor of any lender or financier, or any agent or trustee therefor, for the purpose of obtaining loan or funding or securing such loan or funding. Lessor may also assign this Agreement or any of its rights, interests or obligations herein pursuant to a corporate restructuring. Lessor warrants that the Lessee's rights under this Agreement shall not be affected, prejudiced, or in any way diminished as a result of such assignment or transfer. In any other case, this Agreement shall not be assigned or transferred without the prior written consent of the Lessor.

3. **Confidentiality and Data Privacy**

This Agreement and all information concerning the commercial terms and conditions of this Agreement, other than the existence of this Agreement, shall be kept confidential by the Lessee and shall not be disclosed by the Lessee to any third party except with the prior written consent of the Lessor or as may be required by any law, court order or governmental agency, and except on a need to know basis, to Lessee's accountants, auditors, investors, lenders and legal counsel. This Confidentiality Clause shall survive the expiration or termination of this Agreement.

The Parties warrant that, to the extent any confidential information included Personal Data (as defined under the Data Privacy Act of 2012, its implementing rules and regulations, and issuances issued by the National Privacy Commission, hereinafter "Data Privacy Laws"), the Discloser, as to its disclosure, and the Recipient, as to its processing, complied with Data Privacy Laws.

In the event that either Party, in connection with the performance of its obligations under this Agreement, takes on the role of a Personal Information Controller (PIC) or Personal Information Processor (PIP), as defined under Data Privacy Laws, such Party herein undertakes to implement the necessary measures and execute its role as PIC or PIP as the case may be in relation to any Personal Data which comes into its possession by virtue of this Agreement, in accordance with Data Privacy Laws.

The processing of personal data shall be for the duration of this Agreement and may involve sensitive personal information as defined under the privacy laws. The purpose of the processing of personal data is to provide leasing area(s) for the Lessee of this Agreement. Any Personal Data disclosed by the Parties to each other shall only be used to fulfill their respective obligations under this Agreement. Lessee shall only proceed with the processing of the personal data upon express written instruction from Lessor.

In processing the personal data, Lessee shall implement appropriate technological, organizational and physical security measures in accordance with the Data Privacy Act, its implementing rules and regulations and the issuances of the National Privacy Commission. During the term of the Agreement, Lessee shall allow Lessor to audit the technological, organizational and physical security measures being implemented by Lessee in processing the personal data. The processing of personal data/information shall not be assigned or subcontracted to another entity without the prior written consent of Lessor.

Lessee acknowledges that the data subjects have rights pertaining to their respective personal data and shall therefore assist Lessor in responding to requests from data subject relative to the exercise of their rights, and in ensuring that Lessor complies with the Data Privacy Act.

At the end of the Term of this Agreement, Lessee shall either delete or return the physical copies of the personal data to LESSOR upon the latter's instruction.

Lessee shall immediately inform Lessor in writing not later than twenty-four (24) hours from discovery, of any breach and unauthorized processing of personal data. Lessee shall employ all means to prevent and/or mitigate further breach of personal data.

Lessee hereby undertakes to indemnify and hold harmless for any claims, suits, demands, expenses or damages incurred or suffered by the Indemnitees in the event of Lessee breach of the provisions of the Data Privacy Laws with respect to any information under its possession by virtue of this Agreement

4. **Amendment or Modification**

This Agreement constitutes the entire agreement between the Parties relating to the Leased Premises and supersedes any previous agreements or understandings including any previous Letter of Offer inconsistent herewith.

No amendment to this Agreement shall be valid unless it is made in writing and executed by each Party's authorized representatives.

5. **Severability**

The invalidity, illegality or unenforceability of any provisions of this Agreement shall not affect the continuation in force of the remainder of this Agreement.

6. **Governing Law**

This Agreement shall be governed by and construed in accordance with Philippine law.

In case of any disputes arising in connection with this Agreement, the Parties hereto agree to submit to the jurisdiction of the courts of Paranaque City only, to the exclusion of all other venues.

7. **Counterparts**

This Agreement may be executed in a number of counterparts, each of which shall be an original, but all of which when taken together, shall constitute one and the same instrument.

IN WITNESS WHEREOF, the Parties hereto have set their hands on the date indicated below.

EXECUTION

TIGER RESORT LEISURE AND ENTERTAINMENT, INC.
The Lessor

By:

Name: **Kenji Sugiyama** JAN 17 2023
Designation: **Board Director**
Date:

Name: Alvaro Ramos
Designation: Assistant Vice President - Retail
Date:

RETSD00001033

Mary Grace Foods, Inc.
The Lessee

By:

Name: Adrian Dimacali
Designation: Director
Date:

Signed in the Presence of:

Cherrylene Palaming
Senior Manager – Leasing & Retail Marketing

CHRISTINE JOY B. ACIBAR
FINANCE HEAD - OPERATIONS

Acknowledgement

REPUBLIC OF THE PHILIPPINES)
PARANAQUE CITY) SS.

Before me, a notary public for Paranaque City, this ___ day of JAN 17 2025 2024, personally appeared:

NAME	COMPETENT EVIDENCE OF IDENTITY	DATE AND PLACE OF ISSUANCE
Kenji Sugiyama	TZ1220157	
Alvaro Ramos	XD0581010	

They are known to me to be the same persons who executed the foregoing Retail Lease Agreement consisting of **31** pages including the Schedules and Exhibits thereto, and the page where this acknowledgment is written, and they acknowledged to me that the same was their free and voluntary act, as well as the corporation that they represent.

IN WITNESS WHEREOF, I have hereunto set my hand and affixed my notarial seal on the date and in the place indicated above.

Doc No. 344
Page No. 70
Book No. I
Series of 2025

ATTY. MANUEL ADRIAN D. ARUGAY
NOTARY PUBLIC
Until December 31, 2025
Notarial Commission No. 319-2024
Tiger Resort, Leisure and Entertainment, Inc.
Legal and Compliance Division
Okada Manila, New Sraside Drive, Entertainment C...
Barangay Tambo, Parañaque City
IBP No. 425306, January 18, 2024
Roll No. 62433
MCLE Compliance No. VII-0021431; June 17 ...

Acknowledgement

REPUBLIC OF THE PHILIPPINES)
) SS.
TAGUIG CITY

Before me, a notary public for _____, this JAN 15 2025 day of _____ 2024, personally appeared:

NAME	COMPETENT EVIDENCE OF IDENTITY	DATE AND PLACE OF ISSUANCE
Adrian Dimacali	Passport : P7271334A	May 22, 2018 / DFA manila

They are known to me to be the same persons who executed the foregoing Retail Lease Agreement consisting of **31** pages including the Schedules and Exhibits thereto, and the page where this acknowledgment is written, and they acknowledged to me that the same was their free and voluntary act, as well as the corporation that they represent.

IN WITNESS WHEREOF, I have hereunto set my hand and affixed my notarial seal on the date and in the place indicated above.

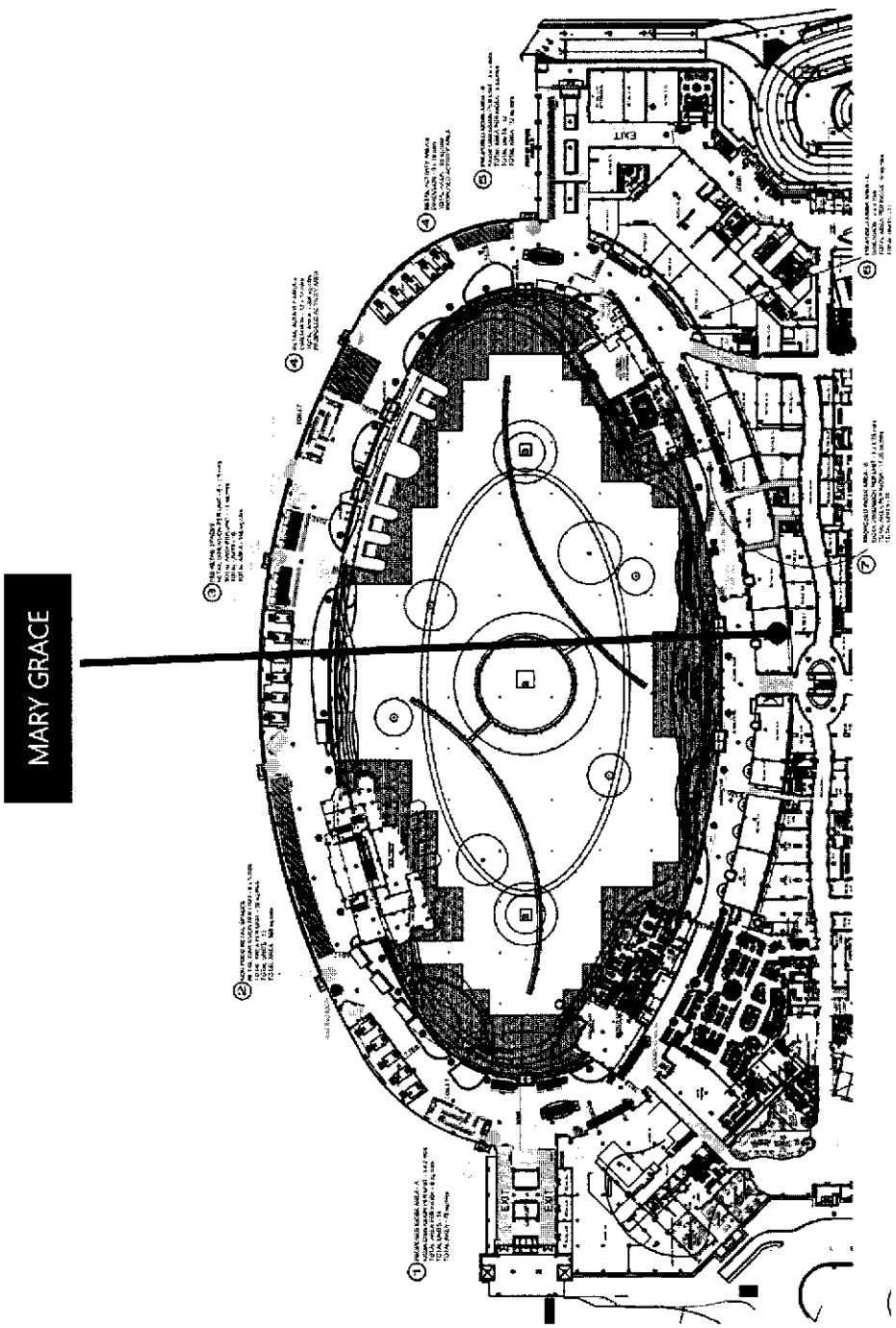
Doc No. 161
Page No. 34
Book No. I
Series of 2025.

ATTY. PAUL VINCENT P. SIOCHI
Notary Public for Taguig City
Notarial Commission No. 53 (2024-2025)
Roll of Attorneys No. 68383
IBP Lifetime No. 016219; 05/08/17; Makati City
PTR No. A-6465786; 01/13/2025; Taguig City
MCLE Compliance No. VII-0014795 valid until 04/14/2025
Blk. 5 Lot 21 Phase 2, Pinagsama Village, Taguig City

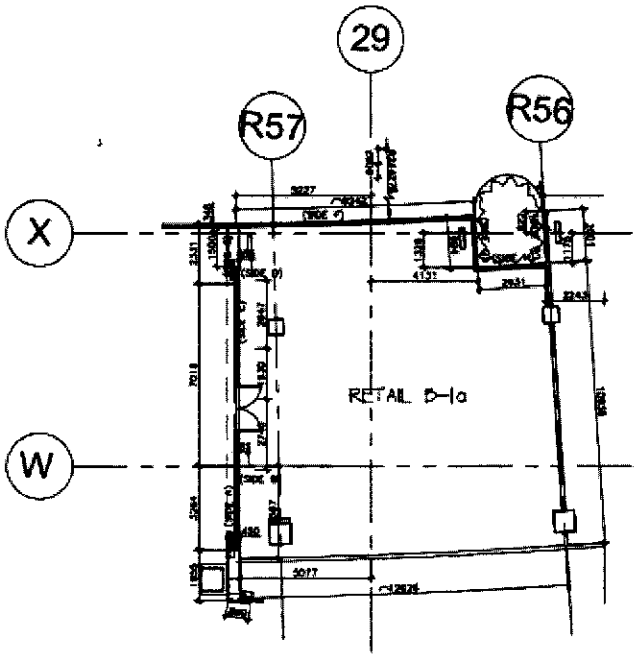
Schedule A

Key Plan of Leased Premises

1. Location of the Leased Premises in the Master Plan of the Okada Manila

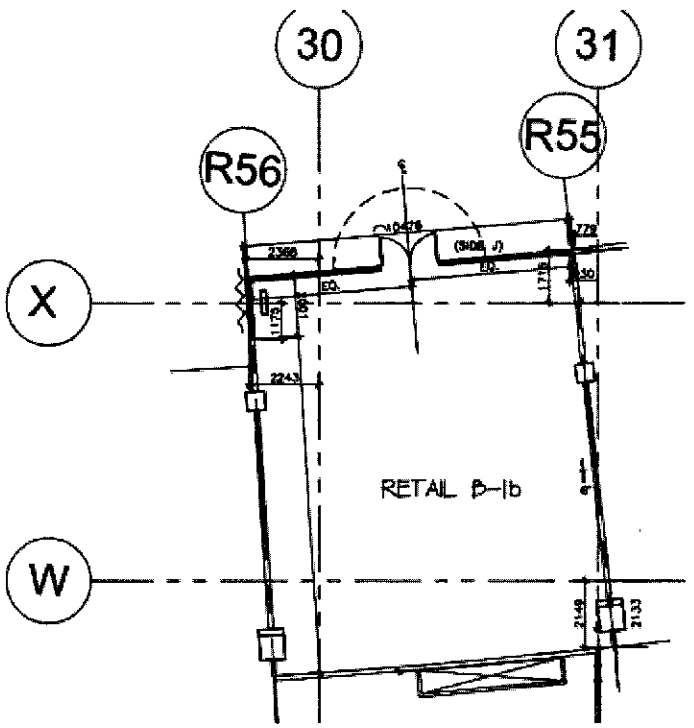


2. Floor Plans of the Premises



RETAIL B-1a
UPPER GROUND FLOOR PLAN

TYPE OF USAGE	RETAIL
CEILING HEIGHT	BY TENANT
FLOOR FINISH	BY TENANT
WALL FINISH	BY TENANT
CEILING FINISH	BY TENANT
BOT. OF BEAM	3650mm
BOT. OF SLAB	10900mm
RETAIL FLOOR AREA	149sq.m



RETAIL B-1b
UPPER GROUND FLOOR PLAN

TYPE OF USAGE	RETAIL
CEILING HEIGHT	BY TENANT
FLOOR FINISH	BY TENANT
WALL FINISH	BY TENANT
CEILING FINISH	BY TENANT
BOT. OF BEAM	3650mm
BOT. OF SLAB	10900mm
RETAIL FLOOR AREA	195sq.m